EXERCISE 6: STRATEGIC PRESENTATION

SWISS MONEY MARKET ANALYSIS & POLICY

PRESENTED BY KARZAN MAHMOUDI

CONSTRUCTOR TALENT SCHOOL

HISTORICAL FRAMEWORK

Analyzing the central bank's evolution from LIBOR to SARON and the management of liquidity in a global context.

CORE MARKET COMPONENTS

CALL MONEY RATE

The daily interbank interest rate for unsecured overnight loans. It serves as a thermometer for Swiss interbank liquidity.

SARON

The Swiss Average Rate Overnight. A secured benchmark based on concluded transactions in the Swiss Repo market.

THE SNB ROLE

The Swiss National Bank steers the market through open market operations to ensure price stability and economic growth.

INSTITUTIONAL MANDATE

PRICE STABILITY

The primary goal is to keep consumer price increases below 2%. To achieve this, the SNB sets the policy rate and steers money market levels.

Since 2022, the bank has pivoted from negative rates to combat global inflationary pressures, maintaining the Swiss Franc's status as a "Safe Haven."

THE ERA OF NEGATIVE RATES

-0.75%

SNB Policy Rate (2015 - 2022)

COMBATTING CURRENCY STRENGTH

To prevent the Swiss Franc from appreciating too sharply against the Euro, the SNB implemented negative interest rates for nearly 8 years.

This unprecedented policy charged banks for holding excess reserves, encouraging investment and credit flow in the domestic economy.

BENCHMARK COMPARISON

CRITERIA	CHF LIBOR (LEGACY)	SARON (STANDARD)
Basis	Unsecured / Opinion-based	Secured / Transaction-based
Collateral	None (Credit risk high)	Swiss Confederation Bonds
Governance	Central Panel of Banks	SIX Swiss Exchange (Repo)
Resilience	Vulnerable to manipulation	Highly robust in stress periods

INTEREST RATE PEAKS (2000-2024)

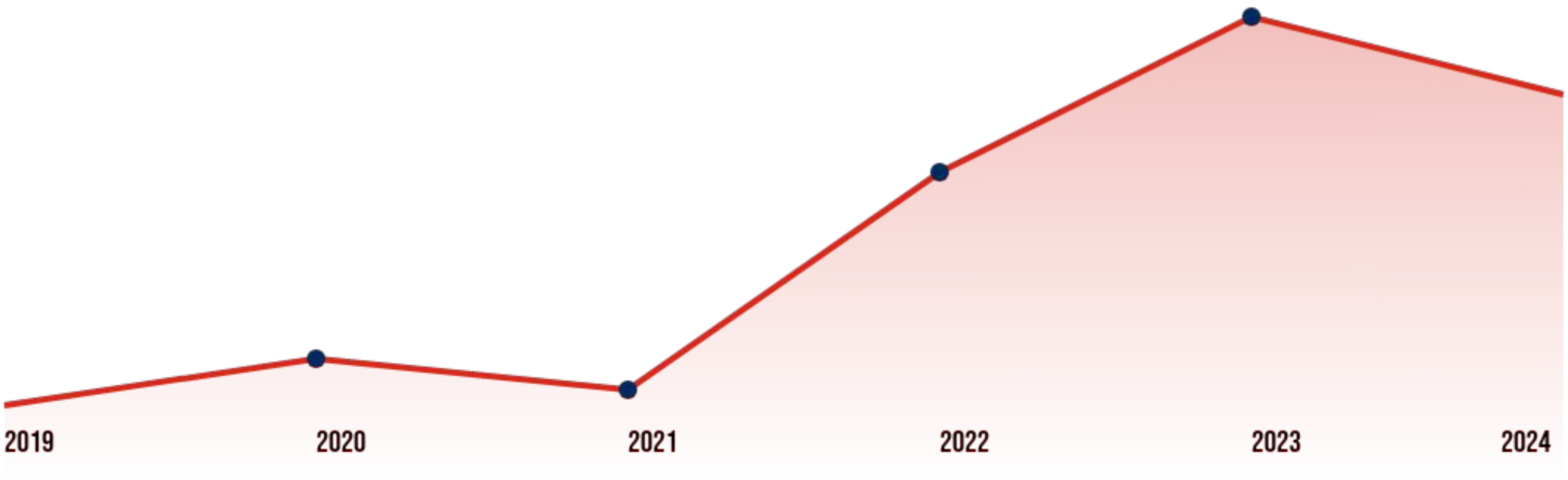
3.50%	2.75%	0.25%	1.75%	1.50%
2000	2008	2011	2023	2024

Historical SNB Policy Rate spikes responding to global financial cycles.

POLICY INSTRUMENTS

- **Sight Deposits:** Managing the amount of liquidity banks hold at the SNB through tiering systems.
- **Repo Transactions:** Buying/selling securities with a promise to repurchase, steering short-term rates.
- **FX Interventions:** Strategic purchase or sale of foreign currencies to influence the CHF valuation.
- **Countercyclical Buffers:** Ensuring banks have enough capital to withstand real estate market shocks.

MARKET RATE TREND ANALYSIS



The 2022-2023 Inflation Pivot: Rapid normalization of rates.

MACROECONOMIC OUTLOOK

Switzerland remains an island of stability. With lower inflation compared to the Eurozone and USA, the SNB can afford a more measured pace of interest rate adjustments.

Key risks for 2025 include geopolitical volatility and its impact on the safe-haven demand for the Swiss Franc.

"The SNB's primary objective is to ensure price stability, while taking due account of economic developments."

— FEDERAL ACT ON THE SWISS NATIONAL BANK

THANK YOU

ANY QUESTIONS?

Karzan Mahmoudi

Swiss Money Market Presentation

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